

Ultimately, your goal with taking these actions to mitigate your investment risk is to keep your risk in line with your comfort levels while maintaining the value of and growing your investment portfolio. Getting prepared to invest will require some groundwork, but it's well worth the time and effort to make sure that you lay the right foundation for your future success as an investor.

Take Action

Take some time to ensure you are prepared to invest using the tips in this chapter:

1. Create a debt repayment plan.
2. Lay out your investment objectives: What are you investing for and when do you need the money by?
3. Determine your risk tolerance and the type of investor you are.
(Remember, this can and should change over time.)
4. Map out a strategy to mitigate your risk with your current and future investments.